# AN INTRODUCTION

India's involvement with the global economy got a completely new dimension in 1991 when it committed it self to the cause of the economic reforms. The involvement went on increasing with the every passing year. The corporate class who were the most concerned lot regarding economic reforms in 2001 requested the GoI to accelerate the process of reforms, via a memorandum, by that the industry and trade had enough proofs that the ongoing process of reform was better for them. We see the dynamics of world economy taking a shift once the provisions of WTO got implemented. To be precise, once the process of globalisation commenced in the 'defined terms' (defined by the WTO), India's involvement with the global economy again increased to a new level. By 2000, IMF/WB, together with the credit rating agencies had started terming India the 'next BIG economic happening' – having the potential of emerging as 'the biggest economy' of the world. Once most of the advanced economies crash-landed after ongoing financial crisis, especially in Eurozone, India was declared almost the 'last hope' for the global economy (China was also seen in the same light but with a caution due to its non-democratic polity) – this can be seen as the arrival of India on the global scale – emerging as one of the most important member of the present global economy – now experts say that India has every potential to play a very vital role in the 'global economic order' which will emerge tomorrow!

Looking at the global importance of the Indian economy the current Economic Survey (2011-12) has added a new chapter to it with the title – *India and the Global Economy* – the very introductory lines[1] of the chapter looks like a celebration of the ***India Story*** – "The big story of the last decade for India has been its arrival on the global scene. The Indian economy had broken free of the low-growth trap from the early 1980s. By the mid-1990s, following the economic reforms of 1991-3, India began to appear as a player of some significance in the global economy. Then, following the East Asian crisis of the late 1990s, and from the first years of the first decade of the 21 st century, there was no looking back. India's exports began to climb, its foreign exchange reserves, which for decades had hovered around 5 billion dollars, rose exponentially after the economic